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Payment fraud falls by £73m following PSR reimbursement scheme




By Simon Lovegrove (UK) & Charlotte Carnegie on July 1, 2026

On 1 July 2026, the Payment Systems Regulator (**PSR**) **published** an independent third-party report which found that the UK's authorised push payment (**APP**) scam policies have delivered net benefits in their first year, reducing fraud losses and strengthening protection for consumers.

Background

The reimbursement requirement came into force in October 2024 and requires payment service providers (**PSPs**) to reimburse eligible APP scam victims. This represented a step-change from the previous voluntary Contingent Reimbursement Model Code by making reimbursement mandatory for in-scope PSPs and introducing shared liability between sending and receiving PSPs.

The publication of APP fraud performance data, first published in October 2023, increased transparency over firms' APP fraud and reimbursement outcomes.

Key findings

Among other things the independent research found that:

- APP fraud losses sent over Faster Payments fell by around 21% following implementation of the reimbursement requirement. This is equivalent to a reduction of £73m per year in APP scam losses.

- Reimbursement rates increased from 54% before the policy to 65% after implementation. Consumers therefore benefited from both fewer scams and greater protection when scams occurred.
- The reimbursement requirement strengthened incentives for PSPs to invest in fraud prevention.

However, the research also finds that outcomes for consumers who fall victim to APP scams remain inconsistent because some APP scam losses are not reimbursed. Some losses are not reimbursed because either they fall outside the scope of the reimbursement requirement and/or are subject to limits and exceptions allowed under the policy.

Roadmap

Given this inconsistency the PSR has also published a roadmap that sets out the scope of its planned work and timing in response to third party report, and stakeholder feedback since the reimbursement requirement was implemented. The PSR will engage stakeholders over the summer, ahead of a formal consultation in December 2026. The scope of the consultation will remain under review and may be refined or amended in light of feedback received during the engagement period.

Regions: United Kingdom

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